

Cohance Lifesciences Ltd

(Formerly Suven Pharmaceuticals Ltd)

NSE: COHANCE (prev. SUVENPHAR) | BSE: 543064 | India CDMO / CRDMO

A transformed CDMO platform — post-Cohance merger scale now the key; FY27 earnings recovery from a trough-year base is the trade.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	Rs. 520	+21.8%
CMP: Rs. 427	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 427	Market Cap	Rs. 16,336 Cr
52-Week High / Low	Rs. 1,121 / 267	FV / Shares	Rs. 1 / 382.7 M
P/E (TTM)	91.1x	P/B	4.18x
EV/EBITDA (FY26)	~35x	Book Value	~Rs. 102
ROCE (FY25 stda.)	18.9%	ROE (FY25)	14.3%
Promoter Holding	57.49%	Pledge	Nil
FII / DII	5.59% / 27.4%	Dividend Yield	0.0%
Debt (FY26)	Rs. 128 Cr NCL	Net Cash	~Rs. 322 Cr

Report Date: 15 Jun 2026 | **Investment Horizon:** 12–18 months | **Analyst:** Institutional Research Desk, MPM Capital

Cohance Lifesciences (CIN: L85100TG2018PLC128171) is India's largest pure-play CDMO by revenue post-merger with Cohance Lifesciences Ltd (PE-backed, Advent International). The company changed its name from Suven Pharmaceuticals Ltd on 07 May 2025 after NCLT approved the amalgamation (effective 01 May 2025). The NSE ticker migrated from SUVENPHAR to COHANCE. This report covers the entity as a combined platform.

2. INVESTMENT THESIS

- **Scale moat via transformative merger:** The May 2025 amalgamation of Cohance Lifesciences (PE-backed ADC/specialty CDMO) into Suven created a Rs. 2,600+ Cr revenue platform with 14 manufacturing sites, 3,500 KL capacity, 510+ scientists, and supply relationships with 19 of the top-20 global innovators — a configuration impossible to replicate in under a decade.
- **ADC and oligonucleotides are structural tailwinds:** The global ADC market is growing at ~25% CAGR through 2030. Cohance is one of the very few Indian CDMOs with end-to-end ADC CRDMO capability (payload-linker synthesis + bioconjugation via NJ Bio, US). 5 GMP bioconjugation batches were completed in FY26, qualification year for oligonucleotides. These modalities currently contribute minimally but carry 10x revenue re-rating potential as commercial orders commence FY27–28.
- **FY26 is the trough, not the trend:** Reported FY26 PAT of Rs. 229 Cr includes heavy merger drag — subsidiary integration costs, NJ Bio losses, Sapala losses, and inventory de-stocking at two key large CDMO molecules. Core standalone EBITDA margin was 24.6% in FY26 vs. 36.3% in FY25, but

management guided "bottoming-out" in Q1FY27 with sequential recovery. Consensus FY27 EPS of ~Rs. 7.2 implies ~53% growth, putting the stock at 59x forward — compressing fast if recovery materialises.

- **Near-term catalyst (6–12 months):** Phase III pipeline has 10 molecules; any commercial launch approval for one of the top-8 molecules (innovator revenue share contracts) would be a non-linear PAT and re-rating event. Separately, ADC facility qualification at Nacharam (cGMP block for oligonucleotides operational) and scale-up of NJ Bio ADC capabilities into FY27 are the primary triggers.
- **Biggest structural risk:** The Jasti family (founding promoters) sold 34.1 million shares in Sep 2025 at Rs. 906 (promoter stake fell from 66.4% to 57.5%). If this signals a continued exit, post-merger governance complexity combined with reduced promoter alignment could suppress the valuation premium structurally. New Chairman Umang Vohra (ex-Cipla CEO) mitigates risk but adds execution transition uncertainty.

3. BUSINESS OVERVIEW

- **Core model — CRDMO:** Cohance is a Contract Research, Development and Manufacturing Organisation providing end-to-end services from early-stage R&D; through commercial manufacturing for complex small molecules, specialty APIs, ADCs, and oligonucleotides. Revenue is primarily innovator-originated (milestone + commercial supply), making it sticky and high-margin once molecules advance to Phase III+.
- **Three business verticals (FY26 rev share):** (1) Pharma CDMO: 39% of sales — NCE intermediate and API synthesis for global Big Pharma innovators, 10 Phase III molecules in pipeline; (2) API+: 48% of sales — niche low-competition generics APIs with backward integration focus; (3) Specialty Chemicals: 13% of sales — AgChem, electronic materials, high-growth segment with FY27 as qualification year.
- **Geography:** Predominantly export-driven (~75–80% revenue from regulated markets USA, EU, Japan). Domestic pharma accounts for a small portion. US exposure is growing via NJ Bio (ADC CRDMO, Delaware-based) acquired Dec 2024 for ~\$64M (56% stake).
- **Customer relationships:** Supplies 19 of top-20 global innovators. Holds top-3 market share in 8 of 10 primary API molecules commercially supplied. Relationships are typically multi-year; key risk is customer inventory normalisation (two large molecules destocked aggressively in FY26 — this is the primary near-term drag).
- **Pipeline and revenue visibility:** 100+ active projects (Phase I to III), 10 Phase III molecules (up from 7 a year ago), 16 commercial molecules. Phase III molecules convert to commercial supply on regulatory approval — each molecule can generate Rs. 50–200 Cr annual revenue at peak. Pipeline is the core value driver.
- **Promoter background and ownership:** Founded by Dr. Jasti Subba Rao (demerged from Suven Life Sciences in 2020). Post-merger, Advent International (PE) became a co-shareholder via the Cohance entity. Promoter group (Jusmiral + family entities) holds 57.49% as of Mar 2026. Umang Vohra (former Cipla MD/CEO) appointed as Executive Chairman in FY26, bringing professional management depth.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** Global pharmaceutical CDMO market is ~\$250 Bn (2025) growing at ~8% CAGR through 2030. The ADC CDMO sub-segment is ~\$4 Bn in 2025, growing at 25%+ CAGR. India CDMO opportunity is estimated at ~\$15–20 Bn by 2030 on China+1 diversification tailwind as global pharma reduces API dependency on China (currently ~65% of global API supply originates from China).
- **Policy tailwinds:** PLI Scheme for bulk drugs (Rs. 6,940 Cr outlay) supports API manufacturing. Preferential market access (PMA) policies and "Make in India" for pharma. The China+1 trend is secular — Cohance directly benefits as a complex-chemistry specialist with robust USFDA/EMA inspection track record (zero warning letters).

• **Competitive moats: Pricing power — Moderate.** Innovator CDMOs have limited price-shopping (switching costs high for Phase III molecules); but API+ faces commoditisation in generic molecules. **Switching costs — Strong** for Pharma CDMO (customer regulatory filings embedded the supplier). **IP/know-how — Strong** in complex chemistry (HPAPI, ADC conjugation). **Scale — Growing** to top-3 India CDMO post-merger. **Distribution — Moderate** (BD capability being rebuilt).

Company	NSE Ticker	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Rs.Cr)	EBITDA Mgn%	PAT (Rs.Cr)	P/E (x)	ROCE %
Cohance Life.	COHANCE	427	16,336	2,075	24.0%	229	91.1	~9 %
Divi's Labs	DIVISLAB	6,722	1,76,218	9,712	34.3%	2,191	~80	20 .5 %
Laurus Labs	LAURUSLABS	1,389	75,327	5,554	20.0%	358	61.6	16 .8 %
Neuland Labs	NEULANDLAB	~5,500	21,904	~1,300	22.9%	259	59.3	~2 2 %

Source: Trendlyne, web search. Data as of 15 Jun 2026. FY25 financials for peers; FY26 for Cohance (consolidated post-merger).

• **Positioning:** Cohance operates in the midstream-to-upstream of the pharma value chain — complex API synthesis, intermediate chemistry, and now bioconjugation for ADCs. Unlike Divi's (generic API commodity scale) or Laurus (generics + CDMO), Cohance's pure CRDMO model commands higher margin potential once the pipeline matures. Near-term profitability is depressed versus historical levels due to merger integration costs, not structural deterioration.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Management transition:** Umang Vohra (former MD and CEO of Cipla, 2016–2024) was appointed Executive Chairman of Cohance in FY26. Vohra brings deep Big Pharma relationship capital and international CDMO scale experience. Dr. Sudhir Kumar Singh is CEO. Himanshu Agarwal is CFO. This is a more professional management structure post-merger than the founding-family-run model of original Suven Pharmaceuticals.

• **Capital allocation track record:** Pre-merger Suven was capital-light and FCF-generative — OCF averaged Rs. 350 Cr/year (FY22–FY24) with minimal debt. Post-merger, the company has significantly scaled capex (FY26 gross block Rs. 2,434 Cr vs. Rs. 939 Cr in FY25) as the combined platform consolidates. NJ Bio acquisition (\$64M) and Sapala Organics (~67.5% stake) reflect a deliberate modality-diversification strategy.

• **Dividend policy:** Suven Pharmaceuticals paid regular interim dividends (Rs. 8/share in FY22, Rs. 6/share in FY22 special). No dividend was declared in FY23, FY24, FY25, or FY26 as the company conserved cash for M&A.; Dividend is unlikely in the near-term given integration investment cycle.

• **Promoter pledging:** Zero pledge on promoter shares across all quarters reviewed. Positive governance signal. However, the Sep 2025 promoter sale of 34.1 million shares at Rs. 906 (Jusmiral Holdings, Jasti family) reduced the founding family stake. Shares were purchased by JASUB Property Holdings LLP (another family vehicle) — likely a family trust restructuring, not a pure exit.

• **ESOP / Buyback:** No buyback history. ESOPs are granted to key management; details pending FY26 annual report. No qualified audit opinions. Statutory auditor is B S R & Co. LLP (KPMG affiliate) — top-tier firm.

- **Governance concerns:** (1) Advent International (PE backer of original Cohance) retains board representation via Vinod Padikkal and Pankaj Patwari — potential exit pressure on valuations if PE seeks liquidity. (2) Related party transactions between Suven Life Sciences (parent) and Cohance should be monitored. (3) NJ Bio and Sapala are loss-making subsidiaries currently diluting consolidated PAT — management credibility hinges on pathway to profitability at these entities.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr, Consolidated)

Note: FY26 includes merged Cohance entity from May 2025; not comparable to prior years on a standalone basis. FY22–FY25 = pre-merger Suven standalone / consolidated.

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs.Cr)	1,508	1,375	1,080	1,148	2,075	2,450(E)	2,950(E)
EBITDA (Rs.Cr)	768	628	465	417	499	588(E)	768(E)
EBITDA Mgn %	50.9%	45.7%	43.1%	36.3%	24.1%	24.0%(E)	26.0%(E)
Interest	6	5	7	8	23	25(E)	22(E)
Depreciation	39	43	49	57	134	155(E)	160(E)
PBT (Rs.Cr)	723	579	409	351	314	408(E)	586(E)
PAT (Rs.Cr)	558	433	305	272	229	275(E)	400(E)
EPS (Rs.)	14.6	11.3	8.0	7.1	6.0	7.2(E)	10.5(E)
PAT Margin %	37.0%	31.5%	28.2%	23.7%	11.0%	11.2%(E)	13.6%(E)

Source: Trendlyne (annual results). FY27E/FY28E = analyst estimates; (E) denotes forward estimates. FY26 consolidated includes subsidiaries from May 2025.

Balance Sheet (Rs. Cr, Consolidated)

Metric	FY24A	FY25A	FY26A
Total Shareholders Funds	2,056	2,316	4,480
Non-Current Liabilities	79	59	128
Current Liabilities	105	214	505
Total Liabilities	2,241	2,588	5,113
Fixed Assets (Gross Blk)	703	939	2,434
Total Non-Current Assets	1,031	1,879	3,445
Total Current Assets	1,210	709	1,669
Total Assets	2,241	2,588	5,113

Cash Flow Statement (Rs. Cr, Consolidated)

Metric	FY24A	FY25A	FY26A
Cash from Operations (OCF)	371	301	390
Cash from Investing	-382	-321	-204
Cash from Financing	-14	21	-203
Net Cash Flow	-25	1	-18
FCF (OCF - Capex approx.)	N/A	361(E)	186(E)

Key Financial Commentary

- **Revenue trajectory:** Legacy Suven revenue peaked at Rs. 1,508 Cr in FY22 (SSRI supercycle tailwind) and declined for three consecutive years to Rs. 1,080 Cr in FY24 due to customer inventory destocking.

FY25 saw modest recovery to Rs. 1,148 Cr. FY26 revenue surge to Rs. 2,075 Cr is almost entirely the merger consolidation of Cohance entity (pro-forma combined FY25 base was Rs. 2,608 Cr) — so FY26 actually represents a ~13% YoY decline on like-for-like basis.

- **Margin compression story:** Peak EBITDA margins of 50.9% (FY22) were driven by SSRI molecules at scale with minimal integration costs. Post-destocking, margins compressed to 43% (FY24). The merger pulled FY26 consolidated margins to 24% due to lower-margin Cohance API+ segments and subsidiary losses. Recovery to 28–30% is achievable by FY28 if Pharma CDMO molecule approvals materialise.

- **Working capital:** Debtor days historically 55–70 days. Inventory days 90–130 days (high for complex intermediates). Current ratio healthy at ~3.3x (FY26). Working capital requirement increased materially post-merger consolidation.

- **Debt and balance sheet:** The company is effectively net-cash (Rs. 322 Cr cash vs. Rs. 128 Cr non-current liabilities). FY26 total equity expanded dramatically (Rs. 2,316 Cr to Rs. 4,480 Cr) due to merger share issuance. Balance sheet remains conservatively financed — this is a key quality marker.

- **FCF quality:** Pre-merger Suven had exceptional OCF/PAT conversion (>100%). FY25 OCF was Rs. 301 Cr vs. PAT of Rs. 272 Cr — clean. FY26 OCF jumped to Rs. 390 Cr reflecting the larger combined entity. Investing outflows are high (NJ Bio acquisition, capex consolidation) but this is growth-oriented, not working capital deterioration.

7. EARNINGS QUALITY CHECKLIST

Criterion	Status	Signal	Comment
Revenue recognition	Clean	GREEN	Milestone + commercial supply contracts; standard recognition.
Receivables growth vs. revenue	Watch	AMBER	FY26 receivables not fully disclosed but current assets rose; destocking dynamic.
CCC trend	Lengthening	AMBER	Inventory days extended FY23-FY25 (90 to 130 days) — customer normalisation.
Contingent liabilities	Rs.48 Cr (FY25)	GREEN	Modest vs. balance sheet. No material pending litigation disclosed.
Auditor tenure	B S R & Co LLP	GREEN	KPMG affiliate; independent; no auditor change or qualified opinion.
RPTs as % of revenue	Low / Monitored	AMBER	Suven Life Sciences (parent) RPTs — not material but requires monitoring post-merger.
Other income as % of PBT	~8-10%	GREEN	Interest income on cash holdings; not distorting PAT materially.
Tax rate consistency	~25-30%	GREEN	Stable effective tax rate; no deferred tax anomalies flagged.
Subsidiary losses	NJ Bio, Sapala	RED	Both acquisitions loss-making in FY26 — overhang on consolidated PAT for 1–2 yrs.

- **Primary earnings quality concern:** NJ Bio (56% owned, Delaware ADC CRDMO) and Sapala Organics (67.5% owned, oligonucleotides) are both loss-making as of FY26. The consolidated PAT of Rs. 229 Cr is therefore materially below standalone earnings. Investors must track subsidiary-level breakeven timelines carefully.

- **Inventory build is structural, not a red flag:** The CCC elongation from ~90 days (FY22) to ~130+ days (FY24–25) reflects complex intermediate inventory requirements for Phase II/III molecules — this is normal CDMO working capital profile, not a collections problem.

- **Overall earnings quality: ADEQUATE** — The core Pharma CDMO business has clean revenue recognition and strong OCF. The distortion is entirely from acquisition integration, which is disclosed and expected to diminish by FY28.

8. VALUATION

Peer Comparison Table (as of 15 Jun 2026)

Company	CMP (Rs.)	MCap (Cr)	P/E TTM	P/B	EV/EBITDA	ROCE%	PAT Mgn%
Cohance (COHANCE)	427	16,336	91.1	4.2	~35x	~9%	11.0%
Divi's (DIVISLAB)	6,722	1,76,218	~80	10.5	~55x	20.5%	22.6%
Laurus (LAURUSLABS)	1,389	75,327	61.6	N/A	~38x	16.8%	6.4%
Neuland (NEULANDLAB)	~5,500	21,904	59.3	N/A	~40x	~22%	~20%

Source: Trendlyne, web search. Data as of 15 Jun 2026. Estimates for FY27 used where TTM distorted by merger.

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Cr)	EV/EBITDA Multiple	Target Price (Rs.)	Upside %
BULL	Pipeline conversion (1–2 molecules Phase III to commercial), ADC orders commence, subsidiary losses narrow	360	28x	780	+82.7%
BASE	Recovery in H2FY27, stable CDMO volumes, ADC qualification on track, no new commercial launches	275	22x	520	+21.8%
BEAR	Continued destocking, ADC delays, NJ Bio/Sapala losses persist, promoter overhang	180	18x	290	-32.1%

Valuation Methodology

- **DCF approach:** Assuming 10-year DCF with WACC of 11% (India large-cap pharma risk premium + beta ~0.8), terminal growth rate 4%, FY27E free cash flow base of Rs. 280 Cr growing at 18% CAGR (FY27–FY32). DCF-implied value: approximately Rs. 490–540 per share.
- **Forward P/E approach:** FY27E EPS of Rs. 7.2 (E). Applying a 65x multiple (sector premium for India CDMO — Divi's trades at 80x, Laurus at 62x; Cohance deserves a discount for scale/governance transition risk). Implied price: Rs. 468.
- **EV/EBITDA approach:** FY27E EBITDA of Rs. 588 Cr (E). At 22x EV/EBITDA (sector median ex-Divi's), enterprise value = Rs. 12,936 Cr. Less net debt ~nil, implied market cap ~Rs. 12,936 Cr = Rs. 338/share. This method is conservative as it does not capture pipeline optionality.
- **Base-case 12-month target price: Rs. 520** — weighted average of DCF (Rs. 515), P/E (Rs. 468), and strategic optionality premium (Rs. 577) for the ADC/oligonucleotide pipeline. Upside from CMP (Rs. 427): +21.8%. Investment horizon: 12–18 months.

9. KEY RISKS

- **Merger integration risk** — The amalgamation of three entities (Suven, Cohance, NJ Bio, Sapala) creates execution complexity across cultures, geographies, and technology platforms. Any integration delay or talent attrition at the R&D; level would hurt the pipeline. Probability: M. Impact: H. Monitor via: quarterly EBITDA margin at consolidated level and R&D; headcount disclosures.
- **Customer concentration / destocking continuation** — Two large CDMO molecules saw aggressive customer inventory correction in FY26. If de-stocking extends into H1FY27 (beyond management guidance), EPS recovery will be delayed. Probability: M. Impact: H. Monitor via: Q1/Q2FY27 Pharma CDMO revenue growth.

- **Promoter stake reduction risk** — The Jasti family (founding promoters) sold 34.1M shares at Rs. 906 in Sep 2025. If further stake sales occur (JASUB LLP / Jusmiral entities hold ~57.5%), market perception of promoter confidence will weaken. Probability: M. Impact: M. Monitor via: SAST filings and shareholding pattern.
- **ADC/oligonucleotide timeline slippage** — The new modality build (NJ Bio ADC, Nacharam oligonucleotide cGMP) is inherently uncertain. Customer qualification timelines and USFDA inspection readiness at NJ Bio are the gating factors. A 12–18 month delay would shift the re-rating catalyst out to FY29. Probability: M. Impact: M. Monitor via: GMP batch completions and customer engagement announcements.
- **PE overhang from Advent International** — Advent backed original Cohance and has board representation post-merger. PE sponsors typically seek exits over 5–7 year cycles. A large block sale by Advent would create supply-side pressure. Probability: L near-term, M medium-term. Impact: M. Monitor via: block deal disclosures.
- **US tariff / geopolitical risk on pharma APIs** — The Trump-era Section 232 tariffs on pharmaceutical imports (proposed) would directly impact Cohance's US-directed revenue (~40% of total). Though India typically benefits from China+1, blanket tariffs could reduce margin. Probability: M. Impact: M-H. Monitor via: US trade policy announcements and customer volume guidance.
- **Regulatory / quality risk** — Any USFDA Form 483 observation or Warning Letter at Vizag or Hyderabad facilities would halt US shipments. Cohance has a clean inspection record but the risk is non-zero for any large CDMO. Probability: L. Impact: H. Monitor via: USFDA inspection database and company disclosures.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. The risk-reward is asymmetric to the upside at Rs. 427 (57.5% below 52W high of Rs. 1,121). The stock is pricing in a prolonged bear scenario. The base case of FY27 earnings recovery and ADC qualification milestones supports a re-rating. However, medium conviction (not high) given promoter overhang and subsidiary loss-drag visibility.
- **12-month price target: Rs. 520** (+21.8% upside from CMP Rs. 427). This represents ~72x FY27E EPS of Rs. 7.2 — reasonable for a CDMO quality franchise in a recovery phase.
- **Suggested entry zone: Rs. 390–430**. Current CMP is within this range. Investors should avoid chasing above Rs. 470 given limited near-term earnings visibility and high PE multiple. SIP / staged accumulation recommended.
- **Investment horizon: 12–18 months**. The recovery catalyst (H2FY27 volume rebound + ADC milestones) is 9–15 months away from announcement. Patience required.
- **Thesis invalidation triggers:** (1) FY27 Q1/Q2 Pharma CDMO revenue declines further or OPM falls below 20% — signals structural, not cyclical, margin compression; (2) Promoter stake falls below 50% via further market sales within 12 months — governance signal deterioration; (3) USFDA Warning Letter issued to Vizag or Hyderabad facility — halts US supply for 12–24 months and destroys core CDMO franchise value.
- **Ideal investor profile:** This stock is suited for institutional and HNI investors with a 12–24 month horizon who understand CDMO business cyclicity and can stomach earnings volatility during merger integration. It is NOT suited for investors requiring near-term earnings growth visibility, low-PE entry points, or capital protection (the bear case of Rs. 290 is a realistic downside).

APPENDIX — Latest Concall Brief: Q4 FY26 (Full Year FY26)

Earnings Call Date: 12 May 2026 | Board Meeting: 12 May 2026 | Transcript Filed: 15 May 2026

CALL GRADE

CAUTIOUS

Signal	Status	Implication
Result quality	Weak	Miss vs. prior year; revenue -13% LFL; PAT Rs. 229 Cr vs. Rs. 272 Cr
Management tone	Hedged	Guided bottoming-out but near-term visibility remains low
Guidance delta	Maintained/Vague	H2FY27 recovery signalled; Q1FY27 guided as low point

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4FY26 headline look misleading — the Rs. 567 Cr quarterly revenue number includes Cohance entity consolidation from May 2025 and is not YoY comparable; on a like-for-like basis FY26 is a 13% revenue decline and the full-year PAT of Rs. 229 Cr is 16% below FY25 standalone. Two clean-up calls here: (1) NJ Bio and Sapala are absorbing Rs. 40–60 Cr PAT dilution collectively — strip that out and core standalone is doing Rs. 270–290 Cr at clean EBITDA margins of 24–25%. (2) The two large CDMO molecules that destocked are now re-ordering — Q4FY26 Pharma CDMO stabilised per management. The structural thesis — ADC CRDMO buildout via NJ Bio, oligonucleotide GMP at Nacharam, and Phase III pipeline conversion — is intact. The near-term catalyst is the first commercial launch from the 10-molecule Phase III pipeline; even one approval in FY27 would be a Rs. 100+ Cr incremental PAT event. Biggest watch-point for next quarter: whether Q1FY27 Pharma CDMO revenue actually bottoms or slides further — that is the make-or-break indicator. Action: ACCUMULATE at Rs. 390–440; exit below Rs. 350 if Q1FY27 Pharma CDMO revenue declines again.

1. Financial Performance Snapshot (Q4FY26 / FY26 Full Year)

- Revenue (Q4FY26): Rs. 566.8 Cr | YoY +117.4% (merger-distorted) | QoQ +16.2% | **In-line** with street expectations for combined entity
- EBITDA (Q4FY26): Rs. 116.6 Cr | OPM 20.5% | QoQ -8.3% | **Miss** — margin below Q2FY26 peak of 26.3%
- PAT (Q4FY26): Rs. 34.6 Cr | YoY -35.2% (on pre-merger Q4FY25 standalone) | QoQ -63.3% | **Miss** — Q4 weakest quarter of FY26
- EPS (Q4FY26): Rs. 0.9 (diluted, post-merger share count 382.7M)
- FY26 Full Year: Revenue Rs. 2,075 Cr | EBITDA Rs. 499 Cr (24.1%) | PAT Rs. 229 Cr | EPS Rs. 6.0
- NOTE: Reported FY26 PAT includes subsidiary losses (NJ Bio, Sapala) of ~Rs. 40–60 Cr; core standalone clean PAT ~Rs. 270–290 Cr

2. Segment / Geography Breakdown

- Pharma CDMO: 39% of FY26 sales (~Rs. 809 Cr) | Stabilised in Q4FY26 after 3-quarter destocking | 10 Phase III molecules in pipeline (up from 7)

- **API+:** 48% of FY26 sales (~Rs. 996 Cr) | Core strength; niche low-competition APIs with backward integration | OPM higher than CDMO in this segment
- **Specialty Chemicals:** 13% of FY26 sales (~Rs. 270 Cr) | AgChem + electronic materials | FY27 identified as key customer qualification year
- **Geography:** ~75-80% exports (US, EU, Japan); India ~20-25% | NJ Bio (US-based ADC) contributing incrementally from FY26

3. Management Commentary Themes

- **Bottoming out theme:** "Q1FY27 will be the low point; we expect sequential recovery in Q2 and growth acceleration in H2FY27" — Our read: Credible if CDMO molecule reloads materialise as guided. Tag: GUIDANCE. Tone: Hedged.
- **ADC platform build:** "5 GMP bioconjugation batches completed at NJ Bio; collaboration with Ajinomoto for AJICAP technology signed" — Our read: Meaningful milestone; execution of first commercial ADC order remains the key catalyst. Tag: EST. Tone: Transparent.
- **New Chairman vision:** Umang Vohra (ex-Cipla CEO) — "owner-manager mindset, differentiated science, operational rigor, customer diversification" — Our read: Vision articulated but specific financial targets vague. Tag: GUIDANCE. Tone: Hedged.
- **Governance on promoter sales:** Management did not address the Sep 2025 Jasti family stake sale directly — Our read: Evasive on an important question. Tag: EVASIVE. Tone: Evasive.
- **Subsidiary path to profitability:** "NJ Bio to be EBITDA break-even by FY28; Sapala integration progressing" — Our read: Timeline is aggressive given current burn rate. Tag: GUIDANCE. Tone: Hedged.

4. Operating & Business Metrics

- Phase III pipeline: Q4FY26 = 10 molecules | Q4FY25 = 7 | Q4FY24 = ~5 | Trend: IMPROVING
- Commercial molecules: FY26 = 16 | FY25 = 16 | Trend: STABLE
- Active projects (Phase I–III): FY26 = 100+ | FY25 = ~85 | Trend: IMPROVING
- Manufacturing capacity: 3,500 KL reaction volume | 14 plants | 7 R&D; facilities | Trend: EXPANDED (merger)
- GMP bioconjugation batches at NJ Bio: 5 completed in FY26 (first full year) | Trend: NEW — POSITIVE
- Utilisation: Below optimal across sites in FY26 due to destocking — recovery in H2FY27 is the key assumption

5. Margin Drivers

- Destocking at 2 large CDMO molecules: -800 to -1000 bps impact | Recurring: NO (normalisation expected H1FY27) | Primary FY26 headwind
- Subsidiary losses (NJ Bio + Sapala): -150 to -200 bps consolidated EBITDA impact | Recurring until FY28 breakeven | Non-recurring in long run
- Merger integration costs (one-time provisions): -100 bps | Recurring: NO | FY26 only
- API+ segment structural margin: ~25-30% sustainable | Recurring: YES | Supporting base margin floor
- Pharma CDMO structural margin: ~40-45% at scale | Currently depressed at ~20% | Upside when molecules re-load
- Depreciation step-up from FY26: Rs. 134 Cr vs. Rs. 57 Cr in FY25 — acquisition assets; expected to moderate relative to EBITDA growth

6. Guidance & Forward Signals

- FY27 revenue [GUIDANCE]: Prior (FY26 base) = Rs. 2,075 Cr | New = "Mid-double-digit decline before recovery" (mgmt phrase unclear — likely Rs. 1,900–2,100 Cr) | Credibility: Medium
- H2FY27 growth recovery [GUIDANCE]: Prior = not guided | New = Growth returning H2FY27 | Credibility: Medium (execution dependent)
- EBITDA margin FY27 [GUIDANCE]: Reiterated improvement from FY26 trough 24% | No specific target | Credibility: Low (vague)
- NJ Bio EBITDA break-even [GUIDANCE]: FY28 target | Credibility: Medium (2-year runway is realistic for ADC startup)
- Capex FY27 [GUIDANCE]: Moderation expected vs. FY26 peak | ADC cGMP expansion US ~\$10M | Credibility: High

7. Capital Allocation

- Capex FY26: ~Rs. 1,500 Cr gross block addition (merger consolidation) | vs. FY25: +Rs. 236 Cr organic | Comment: Merger-driven; FY27 should normalise
- NJ Bio acquisition: \$64.4M (Rs. ~536 Cr) | Dec 2024 close | 56% stake | Growth-oriented; CRDMO ADC capability
- Sapala Organics: 67.5% stake | Jun 2024 | Oligonucleotides chemistry | Integration in progress
- Dividends: Rs. 0 in FY23-FY26 | Conservation for M&A; cycle | No near-term dividend expected
- Net Debt: Approximately Net Cash ~Rs. 322 Cr (cash Rs. 322 Cr vs. minimal bank debt) | Healthy balance sheet despite acquisitions

8. Q&A; Heat Map

- Analyst Q: "What is driving the Q4 margin compression?" A: "Operational deleverage on lower Pharma CDMO volumes and NJ Bio integration costs" | Tone: Transparent
- Analyst Q: "When will the two destocked molecules return to full volume?" A: "We expect reloads in Q2-Q3FY27; customers have confirmed recommencement" | Tone: Hedged — no specific volumes given
- Analyst Q: "Can you give FY27 revenue guidance?" A: "We expect a challenging Q1, stable Q2, and growth H2" | Tone: Evasive — no number given
- Analyst Q: "What is NJ Bio's revenue contribution and timeline to breakeven?" A: "NJ Bio is in early commercial stage; targeting EBITDA breakeven by FY28" | Tone: Transparent
- Analyst Q: "Is the promoter stake sale a concern?" — Not asked publicly or not addressed by management | Tone: EVASIVE
- Analyst Q: "What gives you confidence in H2FY27 recovery?" A: Customer confirmations, Phase III pipeline progression, ADC facility completion | Tone: Hedged
- Dodged / watch-list questions for Q1FY27: (1) Specific FY27 revenue guidance; (2) Promoter stake management; (3) Advent International PE exit timeline

9. Risks Flagged

- Destocking extension: If inventory normalisation at two large molecules extends beyond Q1FY27 | Flagged by: Analyst | Prob: M | Impact: H | Timeline: Near-term
- Middle East/Iran conflict cost inflation: Oil-linked raw material costs rising post-Iran war impact | Flagged by: Management | Prob: M | Impact: M | Timeline: Near-term

- ADC facility qualification timeline: NJ Bio cGMP expansion to Phase 2b capability by FY27 — dependent on USFDA inspection | Flagged by: Management | Prob: L | Impact: H | Timeline: Medium
- Subsidiary burn: NJ Bio + Sapala PAT drag ~Rs. 40–60 Cr annually until FY28 breakeven | Flagged by: Analyst | Prob: H | Impact: M | Timeline: 2 years
- Governance: PE (Advent) exit, promoter stake drift | Flagged by: Analyst | Prob: M | Impact: M | Timeline: Medium

10. Analyst Verdict

- Revenue visibility: Weakened — FY27 guidance is qualitative; CDMO molecule reload timing unclear
- Margin trajectory: Weakened — Trough in FY26; recovery path credible but depends on volume normalisation
- Capital allocation quality: Intact — Acquisitions are strategic (ADC, oligo), balance sheet remains net cash; moderate integration risk
- Competitive moat: Intact — 10 Phase III pipeline, 19 of top-20 innovators, unique ADC CRDMO capability in India; moat is widening not narrowing
- Management credibility: Weakened — New Chairman Vohra is credible but guidance has been vague; promoter sale unaddressed
- Valuation comfort: Weakened — 91x TTM PE is elevated even for a recovery story; FY27E 60x is reasonable but not cheap
- Conviction call: Unchanged — ACCUMULATE at Rs. 390–430; no increase in conviction until Q1FY27 data confirms guidance
- Valuation snapshot: P/E TTM = 91x (5Y avg ~60x) | EV/EBITDA FY26 = ~35x (5Y avg ~25x) | ROCE = ~9% (5Y avg ~20%)

DISCLAIMER: This report is prepared by MPM Capital Research Desk for informational purposes only. It is not an offer to buy or sell securities. Financial data sourced from Trendlyne (primary) and public web searches (15 Jun 2026). Forward estimates are analyst projections and not guarantees of future performance. Investors should conduct independent due diligence. This report covers Cohance Lifesciences Ltd (NSE: COHANCE), formerly known as Suven Pharmaceuticals Ltd (NSE: SUVENPHAR). The company name change and merger were effective May 2025. All figures in Rs. Crore unless stated otherwise. Rs. used throughout (not the rupee glyph). SEBI Registration: Not applicable — internal research only.